

SUCCESSION PLANNING POLICY

FOR ASTONEA LABS LIMITED

CIN:L24304CH2017PLC041482

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SUCCESSION PLANNING POLICY

(Framed pursuant to the provisions of Section 178 of the Companies Act, 2013
read with applicable rules thereunder)

1. TITLE

This document shall be known and cited as the “**Succession Planning Policy of ASTONEA LABS LIMITED**” (“the Policy”).

The Policy establishes a structured framework to ensure orderly and timely succession for leadership and other critical managerial roles within the Company. It is intended to safeguard the long-term continuity of governance, leadership stability, and operational efficiency by facilitating the identification, development, and appointment of competent individuals to key positions within the organization.

This Policy shall form an integral part of the Company’s corporate governance framework and shall be implemented under the oversight of the Board of Directors and the appropriate Board Committees.

2. LEGAL FRAMEWORK

This Policy is formulated in accordance with the provisions of Section 178 of the Companies Act, 2013, which assigns the Nomination and Remuneration Committee the responsibility of identifying individuals who are qualified to become directors and who may be appointed to senior management positions within the Company.

The Policy is also aligned with recognized principles of sound corporate governance, which emphasize the importance of ensuring leadership continuity and fostering the development of internal talent. Through this Policy, the Company aims to establish a transparent, structured, and merit-based approach to succession planning that supports long-term organizational stability and effective leadership transition.

This Policy shall be read in conjunction with the applicable provisions of the Companies Act, 2013 and other relevant statutory regulations, as well as the Company’s internal governance policies. Any amendments or modifications to such laws or policies from time to time shall be deemed to form part of this Policy.

3. OBJECTIVE

The primary purpose of this Policy is to establish a robust and forward-looking succession planning mechanism that supports the long-term strategic objectives and operational sustainability of the Company. The specific objectives of this Policy are as follows:

1. ENSURING LEADERSHIP CONTINUITY

To ensure the uninterrupted continuation of leadership and managerial oversight in critical roles, particularly within the Board of Directors, Key Managerial Personnel, and senior management positions.

2. DEVELOPMENT OF INTERNAL TALENT

To identify, nurture, and develop capable individuals within the organization who demonstrate the potential to assume higher leadership responsibilities in the future.

3. MITIGATION OF OPERATIONAL RISK

To reduce the risks associated with sudden or anticipated vacancies in key positions by maintaining a structured pipeline of qualified and capable successors.

4. STRENGTHENING ORGANIZATIONAL STABILITY

To enhance the Company's long-term stability, resilience, and governance standards by ensuring that leadership transitions occur in an orderly and well-planned manner.

5. ALIGNMENT WITH STRATEGIC GOALS

To align leadership development and succession planning with the Company's overall strategic vision, operational requirements, and growth objectives.

Through these objectives, the Company seeks to ensure that its leadership structure remains strong, dynamic, and capable of effectively responding to evolving business challenges.

4. APPLICABILITY

This Policy shall govern the succession planning framework for critical leadership and management roles within the Company. It shall apply to positions that are integral to the governance, strategic direction, and operational effectiveness of the Company. The scope of the Policy specifically extends to succession planning for the following categories:

- Board of Directors
- Key Managerial Personnel (KMP)
- Senior Management Personnel

The purpose of including these categories within the scope of this Policy is to ensure that leadership continuity is maintained across the Company's governance and executive management structures.

KEY MANAGERIAL PERSONNEL

For the purposes of this Policy, **Key Managerial Personnel (KMP)** shall include individuals occupying positions defined under the provisions of the Companies Act, 2013 and any rules framed thereunder. These positions generally include:

- Managing Director/ Chief Executive Officer or Manager, who is responsible for overall management and strategic leadership of the Company.
- Whole-time Director, entrusted with executive responsibilities and active participation in the management of the Company's affairs.
- Chief Financial Officer (CFO), responsible for financial planning, financial reporting, risk management, and the financial integrity of the Company.
- Company Secretary, responsible for ensuring compliance with statutory and regulatory requirements and for supporting the Board in corporate governance matters.
- Any other officer or employee who may be designated as Key Managerial Personnel by the Board of Directors or as defined under applicable provisions of law.

Senior Management Personnel shall mean officers and personnel of the Company who are members of its core management team excluding the Board of Directors and shall normally comprise all members of management one level below the Chief Executive Officer/Managing Director, including functional heads.

The Policy may also extend, where considered appropriate by the Board or relevant committee, to other strategic positions whose functions are critical to the Company's business continuity and long-term growth.

In the event of any conflict between the provisions of this Policy and the applicable provisions of the Companies Act, 2013 or any statutory enactments, the provisions of such laws shall prevail.

5. ROLE OF THE NOMINATION AND REMUNERATION COMMITTEE

The Nomination and Remuneration Committee (NRC), constituted by the Board in accordance with the provisions of the Companies Act, 2013, shall play a pivotal role in the formulation, implementation, and oversight of the Company's succession planning framework.

In carrying out its responsibilities under this Policy, the Committee shall perform the following functions:

1. IDENTIFICATION OF POTENTIAL CANDIDATES

To systematically identify and evaluate potential candidates who possess the requisite leadership capabilities, professional competence, and integrity for appointment to the Board of Directors and senior management positions.

2. ASSESSMENT OF SUITABILITY AND COMPETENCE

To assess and evaluate the qualifications, professional expertise, industry experience, leadership qualities, independence, and overall suitability of potential candidates to ensure alignment with the Company's strategic objectives and governance standards.

3. RECOMMENDATION OF SUCCESSORS

To recommend suitable candidates or potential successors to the Board of Directors for consideration and appointment to key leadership roles as and when vacancies arise.

4. OVERSIGHT OF LEADERSHIP DEVELOPMENT INITIATIVES

To supervise and guide the development of leadership talent within the organization by encouraging structured development programs, mentoring initiatives, and performance evaluations designed to prepare potential successors for future responsibilities.

Through these responsibilities, the Committee shall ensure that succession planning remains an ongoing and strategic process within the Company.

6. SUCCESSION FOR THE BOARD OF DIRECTORS

The succession planning process for the Board of Directors shall be undertaken under the supervision of the Nomination and Remuneration Committee, which shall periodically review the composition of the

Board and assess the skills, expertise, and competencies required to effectively discharge its governance responsibilities.

In this regard, the Committee shall:

- Identify and evaluate individuals who possess the necessary qualifications, professional experience, integrity, and leadership capabilities to serve as members of the Board of Directors.
- Ensure that the Board maintains an appropriate balance of skills, knowledge, industry experience, diversity of perspectives, and independence to effectively guide the Company's strategic direction.
- Recommend suitable candidates for appointment or reappointment to the Board, in accordance with applicable statutory provisions and governance standards.

Where required under the applicable provisions of the Companies Act, 2013, such appointments shall be subject to approval by the shareholders of the Company at a general meeting.

7. SUCCESSION FOR KEY MANAGERIAL PERSONNEL

Succession planning for Key Managerial Personnel (KMP) is critical to ensuring the continuity of the Company's executive leadership and operational oversight.

In the event of a vacancy arising in any KMP position due to circumstances including but not limited to:

- Resignation from office
- Retirement upon attaining the prescribed age or completion of tenure
- Removal from office in accordance with applicable laws or contractual arrangements
- Death or permanent incapacity
- Any other unforeseen circumstance leading to the cessation of office

the Nomination and Remuneration Committee shall promptly evaluate potential candidates for the position.

After conducting a comprehensive assessment of the candidates' qualifications, professional competence, leadership capabilities, and suitability for the role, the Committee shall recommend an appropriate candidate to the Board of Directors for appointment. Such appointment shall be made in accordance with the relevant provisions of the Companies Act, 2013 and any other applicable statutory or regulatory requirements.

The final appointment of Key Managerial Personnel shall be made by the Board of Directors in accordance with the provisions of the Companies Act, 2013.

8. SUCCESSION FOR SENIOR MANAGEMENT

The Company recognizes that effective succession planning for Senior Management Personnel is essential for maintaining operational stability and supporting the Company's long-term growth and strategic objectives.

Accordingly, the Company shall establish a structured approach to identifying and developing internal talent capable of assuming higher leadership responsibilities. This process shall include the following measures:

- **IDENTIFICATION OF HIGH-POTENTIAL EMPLOYEES**

The Company shall periodically identify employees who demonstrate strong performance, leadership potential, professional competence, and the ability to take on greater responsibilities.

- **LEADERSHIP DEVELOPMENT AND CAPABILITY BUILDING**

Identified individuals shall be provided with opportunities for professional development through training programs, mentoring arrangements, leadership workshops, cross-functional exposure, and other capacity-building initiatives.

- **CREATION OF A SUCCESSION TALENT PIPELINE**

The Company shall maintain a pipeline of capable individuals who may be considered for advancement to senior management roles in the future, thereby ensuring that leadership transitions occur smoothly and with minimal disruption to business operations.

Through these initiatives, the Company seeks to cultivate a sustainable leadership framework that supports long-term organizational resilience and effective management succession.

9. EMERGENCY SUCCESSION

The Company acknowledges that unforeseen events may result in the sudden or unexpected vacancy of key leadership positions that are critical to the Company's governance and operational stability. Such circumstances may arise due to sudden resignation, death, incapacity, termination, or any other unforeseen situation affecting the incumbent of a key role.

In order to ensure continuity of management and to safeguard the interests of the Company and its stakeholders, the Board of Directors, in consultation with the Nomination and Remuneration Committee where feasible, shall have the authority to designate or appoint an interim or acting successor to perform the duties and responsibilities associated with the vacant position.

The interim appointment shall remain effective for a temporary period until a permanent successor is identified, evaluated, and appointed in accordance with the provisions of the Companies Act, 2013 and other applicable regulatory requirements. During this interim period, the Board shall ensure that appropriate oversight mechanisms are in place to maintain operational stability and effective governance.

10. REVIEW OF POLICY

This Policy shall be subject to periodic review to ensure that it remains relevant, effective, and aligned with the evolving business environment, corporate governance standards, and statutory requirements.

The Nomination and Remuneration Committee shall periodically assess the adequacy and effectiveness of the Policy, taking into consideration factors such as organizational growth, changes in leadership structure, emerging governance practices, and amendments to applicable laws or regulations.

Based on such review, the Committee may recommend appropriate modifications, enhancements, or updates to the Policy. Any proposed changes shall be placed before the Board of Directors for consideration and approval.

11. DISCLOSURE

In accordance with applicable corporate governance practices and statutory requirements, the Company may disclose the existence and broad framework of this Policy in the Board's Report forming part of the Company's Annual Report or on the official website of the Company, as may be required under the relevant provisions of the Companies Act, 2013 or other applicable regulatory guidelines.

Such disclosure shall be made in a manner that promotes transparency and accountability while maintaining appropriate confidentiality with respect to internal succession planning processes and candidate evaluations.

12. AMENDMENTS

The Board of Directors shall have the authority to amend, modify, substitute, or rescind any provision of this Policy from time to time as may be deemed necessary or appropriate.

Any such amendments shall be made in compliance with the provisions of the Companies Act, 2013, rules made thereunder, and any other applicable statutory or regulatory requirements. The Board may also incorporate changes to reflect evolving corporate governance standards, industry best practices, or organizational needs.

All amendments approved by the Board shall form an integral part of this Policy and shall become effective from the date of such approval unless otherwise specified.

13. EFFECTIVE DATE

This Policy has been approved by the Board of Directors of the Company and shall be implemented under the supervision of the Nomination and Remuneration Committee.

This Policy shall come into force with effect from 06.02.2026, following its approval by the Board of Directors of ASTONEA LABS LIMITED.

The Policy shall thereafter remain in effect until it is modified or replaced by the Board of Directors in accordance with the applicable provisions of the Companies Act, 2013 and other relevant laws or regulations.
